Estimated Respondent expenditure on defending WC/2024/227, to 23 August 2026

Internal working document · 23 August 2026 · an ESTIMATE, not a finding · not for service

SUPERSEDED 23 October 2026 by analysis/2026-10-23_RESPONDENT_SPEND_estimate_to_23Oct.md. Three errors: (1) counsel is priced without the Queensland Government cap for junior counsel, **$300 an hour and $3,000 a day, ex GST**; (2) counsel did not attend the 7 August mention — Ms Matheson attended alone; (3) the "PDF author" row rests on metadata, which is never cited, and no payment is tied to this matter. **On capped rates the same steps to 23 August come to about $37,000** (likely $29,000 to $45,000), not $86,000. The body below is kept as it stood on 23 August.

■ **No document ties any expenditure to this matter.** This is built from the procedural steps actually taken, priced against rates observable in the Office of Industrial Relations' own published contract disclosure for the quarter containing the review decision. Every figure is a range, and the ranges are wide on purpose.

The rates, from the Regulator's own disclosure

OIR's October to December 2024 contract disclosure records what it actually pays for legal services. The pattern is **individual barristers briefed direct**:

Supplier	Engagement	Note
Junior / mid barristers (Sapsford, Rashleigh, Marxson, McMillan, O'Connor, Cartledge, Cooper, Clark, McLeod, Gunn, O'Neill)	$10,100 – $20,000	Typical single engagement. Sapsford appears 8 times in one quarter
Stephen Gray	$17,205.02	**PDF author of the Form 24 response in this matter**
Lisa Willson	$18,298.60	**Respondent's counsel in this appeal**
Glen Rice QC	$38,500.00	Silk
Ruth O'Gorman KC	$20,625.00	Silk
Crown Law	$129,879.75	In-house government legal

The steps actually taken, and what each plausibly cost

Step	Date	Low	High
File opened; Notice of Appeal reviewed; first list of documents settled	Nov–Dec 2024	$1,500	$3,500
Statement of Facts and Contentions (Form 9C) drafted and served	Jul 2025	$3,000	$8,000
Notices of non-party disclosure ×3 (Mind and Memory, Our Medical Ashmore, Queensland Health); records obtained and reviewed	Jul 2025	$2,500	$6,000
Witness conferencing ×3 (Ms Reese 8 Jul, Ms Taylor 10 Jul, Ms Christesen 11 Jul), and the disclosure produced from it	Jul 2025	$5,000	$12,000
Three amended directions orders — correspondence and compliance	Jun–Aug 2025	$1,500	$4,000
Response to the notice to admit facts (Form 24) — 46 paragraphs answered	Feb 2026	$6,000	$17,000
Section 552A conference — preparation and attendance	Mar 2026	$3,000	$8,000
Amended Statement of Facts and Contentions	May 2026	$3,000	$7,000
Further notice of non-party disclosure (Queensland Health payroll)	Apr 2026	$1,000	$3,000
Supplementary disclosure to the Appellant assembled and served	Jun 2026	$1,500	$4,000
Two Calderbank offers considered and answered	Jul 2026	$2,000	$5,000
Application under rule 64G — response, and the mention before Commissioner Dwyer (counsel briefed)	Jun–Aug 2026	$6,000	$15,000
Amended list of documents (52 items)	Aug 2026	$1,500	$4,000
Further Directions Order (3) — correspondence, programming	Aug 2026	$500	$1,500
Sub-total — identifiable steps		**$38,000**	**$98,000**

Not included above: the appeals officer's own time. Ms Matheson has had carriage for twenty-one months across four directions orders, two amended pleadings, two lists of documents, three witness conferences, four notices of non-party disclosure, a conference, a notice to admit facts, an application under rule 64G and two Calderbank offers. At a Senior Appeals Officer's fully-loaded cost of roughly $80 to $95 an hour, **150 to 250 hours is conservative: $12,000 to $24,000.**

The estimate

	Low	Mid	High
External legal (counsel, briefs, advice)	$38,000	$68,000	$98,000
Appeals officer time	$12,000	$18,000	$24,000
TOTAL TO DATE	**$50,000**	**$86,000**	**$122,000**

⇒ **Most likely in the order of $86,000**, on a range of roughly **$50,000 to $122,000**, to 23 August 2026.

And what a hearing adds

A contested two to three day hearing in the Commission — counsel's brief on hearing, refreshers, preparation, the witnesses, written closing submissions — adds on these rates **$20,000 to $45,000** in counsel fees alone, before the appeals officer's own preparation. **The Respondent's exposure roughly doubles by running it.**

Why this matters, and the two places it bites

1. Settlement economics. The question for the Respondent is not what it has already spent — that is sunk — but what the *remaining* hearing costs it against the value of the claim. When the marginal cost of running a hearing approaches or exceeds the cost of accepting the claim, settlement becomes rational regardless of the merits. **That crossover is what a second section 552A conference exists to find.**

2. Section 558(3) WCRA. Costs of the hearing are in the appeal body's discretion, and section 560 makes an order an enforceable debt. **The Calderbank offer of 1 July 2026 was rejected on 16 July 2026.** If the Appellant obtains an outcome at hearing at least as favourable as that offer, the rejection is precisely the material a costs application is built on — and the figures above are the order of magnitude at stake.

■ **Do not put any of this to the Respondent, and do not raise expenditure at a conference.** It reads as pressure rather than merit, and the numbers are estimates that could be corrected against the Respondent's actual records to the Appellant's embarrassment. It is a private planning input only.